

Healthy pipeline and strong deal wins coupled with stable margins

LTTS reported a decent Q3FY22 performance with revenue largely in line with our estimates while EBIT margins beat our estimates by 40 bps. Growth guidance for FY22e maintained at 19-20%.

- \$ Revenue came in at \$225.1 Mn, +3.5% qoq / +18.4% yoy and -0.2% below our estimate of \$225.6 Mn
- INR revenue came in at INR 16,875 Mn, +5% qoq / +20.5% yoy and -0.2% below our estimate
- EBITDA was reported at INR 3,675 Mn, +5.2% qoq / +33.3% yoy and +1.1% above our estimates
- EBITDA margins stood at 21.8%, vs 21.7% / 19.7% in Q2FY22 / Q3FY21 respectively and 27 bps above our estimates
- EBIT was reported at INR 3,144 Mn, +6.1% qoq / 47.5% yoy and +2.1% above our estimates
- EBIT margins stood at 18.6%, vs 18.4% / 15.2% in Q2FY22 / Q3FY21 respectively and 40 bps above our estimates
- PAT came in at INR 2,488 Mn, +8.2% qoq / +33.7% yoy and 3.5% above our estimates
- EPS at INR 23.6 in Q3FY22 vs 21.9 / 17.7 in Q2FY22 / Q3FY21 respectively
- FY22e USD revenue growth guidance maintained at 19-20%
- Company signed 3 large deals with TCV of \$10 Mn+. In the Automotive space, LTTS won a deal worth \$45 Mn from a US based Automotive Tier 1 company

Industry-wise Performance

- Transportation (31.8% of revenue)** led the growth with 5.1% qoq / 23.9% yoy followed by **Telecom & Hi-Tech (21.4% of revenue)** which grew at 4.7% qoq / 10.4% yoy and **Plant Engineering (15.4% of revenue)** which grew at 4.4% qoq / 24.3% qoq
- 2 verticals had a subdued quarter, namely, Medical Devices (11.9% of revenue)** which grew at 1.5% qoq / 11.2% yoy and **Industrial Products (19.5% of revenue)** which grew at 0.7% qoq / 19.6% yoy

Geographical Highlights

- India (13.7% of Revenue)** led the sequential growth at 9.3% qoq followed by ROW (7.4% of revenue) at +3% qoq growth, N. America (62.5% revenue) grew at 2.8% qoq and Europe (16.5% of revenue) at 2.3% qoq.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	56,191	54,497	65,722	76,862	89,426
EBITDA	11,105	10,074	14,199	16,926	19,706
Adjusted net profit	8,218	6,659	9,592	11,722	13,824
Free cash flow	4,870	12,517	7,158	8,626	8,924
EPS (Rs)	81.1	65.7	94.6	115.6	136.3
growth (%)	7%	-19%	44%	22%	18%
P/E (x)	67.0	82.6	57.4	46.9	39.8
P/B (x)	19.9	15.8	13.3	11.1	9.3
EV/EBITDA (x)	49.1	54.0	38.0	31.6	26.8
D/E	-	-	-	-	-
ROCE (%)	28.6	18.8	22.4	23.3	23.2
RoE (%)	31.4	21.4	25.2	25.8	25.4
Dividend yield (%)	0.4	0.4	0.5	0.6	0.8

Source: Company

Please refer to our disclaimer given at the last page.



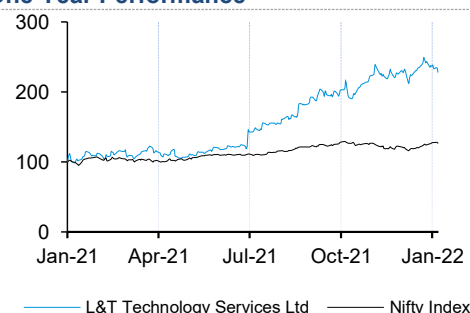
Rating	TP (Rs)	Up/Dn (%)
HOLD	5,452	1

Market data

Current price	Rs	5,421
Market Cap (Rs.Bn)	(Rs Bn)	572
Market Cap (US\$ Mn)	(US\$ Mn)	7,703
Face Value	Rs	2
52 Weeks High/Low	Rs	58.1 / 2295.913
Average Daily Volume	('000)	183
BSE Code		540115
Bloomberg		LTTS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	73.93	74.15
Public	26.07	25.85
Total	100	100

Source: Bloomberg

Mayank Babla
(022) 67141412
mayank.babla@dalal-broacha.com

Conference Call Key Takeaways

Segment-wise commentary

Transportation 31.8% of revenue and grew 5.1% qoq

- Led by Auto, trucks and off-highway and aero
- Auto: seeing a strong traction in EV in U.S. Setting up R&D lab in Krakow, Poland as part of the large deal. Company is also working on expanding electrification to the heavy equipment and aero segment
- Aero is seeing gradual pick up in spends in areas like digital platforms and solutions for traditional OEMs and hybridization for a new age innovative companies. With empanelment in Q3 + other deals, aerospace has a strong outlook
- Expect growth momentum to continue

Plant Engineering 15.4% of revenue and grew 4.4% qoq

- Driven by FMCG, Oil & Gas and Chemicals
- O&G is seeing good pipeline of opportunities in high value engineering centers for customers, alternative energy, carbon capture and product mix changes
- FMCG spend is being driven by strong CapEx in greenfield and brownfield expansion in Europe
- Expect steady growth going ahead

Industrial Products 19.5% of revenue and grew by 0.7% qoq

- Soft quarter despite scale up of engagements in all 3 subsegments namely electrical, machinery and building automation
- Strong demand for platform development, digital twin and smart services and to leverage data and analytics to transform their business
- 1 of the large deal wins was in this segment and LTTS will use engineering data analytics to develop a software platform that will improve manufacturing process lines
- Growth momentum will pickup in coming quarters

Telecom 21.4% of revenue and grew at 4.7% qoq

- Led by Semicon and telecom infra
- See good opportunities in 5G space on the back of huge spends in integrating various network components and implementing AI solutions as network gets deployed
- In Semicon: see good opportunity in design, especially in 7 nm technology

- Hi-Tech: empanelled with one of the World's largest tech companies to work on wide portfolio of products and devices
- Media: focus is on margin expansion and therefore will not be renewing few programs in legacy area.
- Q4 performance of Telecom might be muted because of actions in Media

Medical 11.9% of revenue and grew at 1.5% qoq

- Growth driven by strong spending in digital platforms and connectivity areas
- See good pipeline and demand as LTTS has added a couple of marquee logos in the last 3 quarters

Other Key Takeaways

- Highest ever net additions of 2,100 during Q3
- Large deal wins: \$45 Mn dollar deal won with a U.S.-based auto Tier 1 to be their strategic engineering partner for their electric vehicle portfolio + 2 other deals >\$10 Mn
- \$45 Mn deal is from the same client and deals won from it have increased in size for the 3rd straight quarter (total TCV from this client stands at \$90 Mn now)
- 2 big empanelments during Q3: 1 with world's largest technology provider and 1 with an aviation company. Expect \$50 Mn in revenue from each over the next few years
- LTTS' AI solution AiKno is helping in faster and accurate medical device compliance with FDA
- Trainee intake at 1900+ during Q3 which will help optimize pyramid and manage attrition. Expect trainee intake to continue into Q4 and in FY23
- Attrition: See attrition stabilizing from Q4 onwards
- Outlook for CY22 is robust and deal win momentum should regain pace from Q4FY22 onwards
- Margins: Margins were aided by operational efficiencies like pyramid optimization and rupee depreciation which was offset by lower utilization and higher travel costs. Expect EBIT margins to be sustainable at 18%+ as company has enough levers such as growth, quality of revenue and operational efficiency to combat headwinds such as intermittent wage hikes
- FCF stood at INR 725 Cr for YTD
- Cash & Investments stood at INR 2,143 Cr
- Utilization fell to 75.9% due to strong net headcount addition
- Expect improvement in client profile trend to continue in the forth-coming quarters

Quarterly Performance Analysis

Exhibit 1

YE March (INR Mn)	Q3 FY22	Q2 FY22	Q-o-Q change %	Q3 FY21	Y-o-Y change %	Q3 FY22 Est.	Deviation %
Total Revenue (USD Mn)	225.1	217	3.5%	190	18.4%	226	-0.2%
Total Revenue (INR Mn)	16,875	16,077	5.0%	14,007	20.5%	16,904	-0.2%
Less:							
Cost of Revenues	9,224	9,038	2.1%	8,556	7.8%	9,464	-2.5%
SG&A Expenses	3,977	3,546	12.2%	2,695	47.6%	3,803	4.6%
Total Expenditure	13,201	12,584	4.9%	11,251	17.3%	13,268	-0.5%
EBIDTA	3,674	3,493	5.2%	2,756	33.3%	3,636	1.0%
Less: Depreciation	530	529	0.2%	624	(15.1%)	556	-4.7%
EBIT	3,144	2,964	6.1%	2,132	47.5%	3,080	2.1%
Interest Paid	111	113	(1.8%)	114		113	
Other income (expense), net	370	293	26.3%	488	(24.2%)	308	20.1%
Profit Before Tax	3,403	3,144	8.2%	2,506	35.8%	3,275	3.9%
Tax	907	836	8.5%	637	42.4%	871	4.2%
PAT before Minority Interest	2,496	2,308	8.1%	1,869	33.5%	2,404	3.8%
Minority Interest	8	8		8		0	
Profit After Tax	2,488	2,300	8.2%	1,861	33.7%	2,404	3.5%
Basic & Diluted EPS (Rs.)	23.7	21.9	8.2%	17.7	33.7%	22.9	3.5%
Outstanding Shares (mn)	105	105		105		105	
Margin Analysis %			Change In bps		Change In bps		
EBIDTA Margin	21.8%	21.7%	5	19.7%	210	21.5%	26
EBIT	18.6%	18.4%	19	15.2%	341	18.2%	41
PBT Margin	20.2%	19.6%	61	17.9%	227	19.4%	79
NPM	14.7%	14.3%	44	13.3%	146	14.2%	52
Effective Tax Rate (%)	26.7%	26.6%	6	25.4%	123	26.6%	6
Cost Analysis %			Change In bps		Change In bps		
Cost of Revenues/ Sales	54.7%	56.2%	-156	61.1%	-642	56.0%	-133
Other income/ PBT	10.9%	9.3%	155	19.5%	-860	9.4%	147

Source: Dalal & Broacha Research, Company

LTTS reported a revenue in-line with our estimates while margins were a tad bit above our est.

Company maintained its FY22e growth outlook at 19-20%.

Management has indicated that CY22e outlook is robust and growth momentum should pick up in Industrial Products and Medical Devices going ahead whereas momentum in other verticals can be maintained

Valuation & Outlook

The company reported a decent Q3FY22 despite lower billing hours due to holidays. Deal wins are healthy, most notably the \$45 Mn deal from a Tier 1 Automotive company, coupled with strong empanelments and partnerships. Overall spend and macro view for CY22e in the ER&D industry also looks optimistic in all the segments that LTTS is present in.

Additionally, company's 6 focus areas (namely – Electric Autonomous and Connected Vehicles (EAVC), 5G, MedTech, Digital Manufacturing, AI & ML and Sustainability) coupled with change in the type and quality of work should bode well for the future.

LTTS is currently trading at 46.9x / 39.8x FY23e / FY24e EPS. We maintain a HOLD rating on the stock as we roll over to FY24e estimates and apply a target multiple of 40x FY24e EPS of INR 136.3 to arrive at target price of INR 5,452.

Financial

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Total Revenue	56,191	54,497	65,722	76,862	89,426
Growth %	11%	-3%	21%	17%	16%
Less:					
Employee Cost	33,700	33,615	36,707	41,966	48,705
SG&A Expenses & Other	11,386	10,808	14,817	17,969	21,015
Total Operating Expenditure	45,086	44,423	51,524	59,936	69,720
EBIDTA	11,105	10,074	14,199	16,926	19,706
Growth %	21%	-9%	41%	19%	16%
Less: Depreciation	1,829	2,183	2,165	2,414	2,809
EBIT	9,276	7,891	12,034	14,512	16,897
Growth %	14.4%	-14.9%	52.5%	20.6%	16.4%
Interest Paid	365	455	443	444	444
Non-operating Income	2,091	1,537	1,491	1,922	2,236
Profit Before tax	11,002	8,973	13,081	15,990	18,689
Tax	2,778	2,308	3,483	4,262	4,859
Net Profit	8,230	6,671	9,604	11,734	13,836
Adjusted Profit	8,230	6,671	9,604	11,734	13,836
Growth %	7%	-19%	44%	22%	18%
Reported Diluted EPS Rs	81.0	65.6	94.5	115.5	136.2
Growth %	7.0%	-19.0%	44.0%	22.2%	17.9%
Adjusted Diluted EPS Rs	81.1	65.7	94.6	115.6	136.3

Key Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBIDTA (%)	19.8%	18.5%	21.6%	22.0%	22.0%
NPM (%)	14.6%	12.2%	14.6%	15.3%	15.5%
RoE (%)	31.4%	21.4%	25.2%	25.8%	25.4%
RoCE (%)	31.2%	21.1%	27.1%	28.0%	27.7%
Tax Rate %	25.2%	25.7%	26.6%	26.7%	26.0%
Book Value Per share (Rs.)	272.8	342.2	408.3	489.1	584.4

Valuation Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
P/E (x)	67.0x	82.6x	57.4x	46.9x	39.8x
P/BV (x)	19.9x	15.8x	13.3x	11.1x	9.3x
EV/EBIDTA (x)	49.1x	54.0x	38.0x	31.6x	26.8x
EV/Sales	9.7x	10.0x	8.2x	6.9x	5.9x
Market Cap./ Sales (x)	9.8x	10.1x	8.4x	7.2x	6.2x
Dividend Yield (%)	0.4%	0.4%	0.5%	0.6%	0.8%

Balance Sheet (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	209	210	203	203	203
Reserves & Surplus	27,477	34,521	41,235	49,441	59,117
Equity	27,686	34,731	41,438	49,644	59,320
Net Worth	27,686	34,731	41,438	49,644	59,320
Total Loans	303	578	578	578	578
Lease Liabilities	3,961	4,805	4,015	4,015	4,015
Capital Employed	33,641	41,115	47,542	56,085	66,021
Assets					
Gross Block	3,873	4,349	7,223	9,223	11,223
Less: Depreciation	1,774	2,286	4,451	6,865	9,674
Net Block	2,099	2,063	2,772	2,358	1,549
Investments	1,137	1,644	2,038	2,105	2,181
Intangible Assets	6,146	6,564	6,564	6,564	6,564
Others Assets	972	1,116	1,346	1,574	1,831
Current Assets					
Sundry Debtors	13,807	12,346	14,585	16,846	19,600
Cash and Bank Balance	5,669	6,526	10,580	16,776	22,762
Total Current Assets	32,592	39,801	48,336	59,031	71,924
Less: Current Liabilities					
Sundry Creditors	1,975	2,352	3,106	3,613	4,202
Other Current Liabilities	5,763	6,256	8,215	9,608	11,178
Total Current Liabilities	9,392	10,192	13,712	15,777	18,296
Capital Applied	33,641	41,115	47,542	56,085	66,021

Cash Flows (Consolidated)					
YE March (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	8,218.0	6,659.0	9,591.7	11,722.2	13,823.7
(Less)/Add: Extraordinary Income/Expense	0.0	0.0	0.0	0.0	0.0
Less: Non Operating Income	(2,091.0)	(1,537.0)	(1,490.6)	(1,921.6)	(2,235.6)
Add: Depreciation	1,829.0	2,183.0	2,165.3	2,414.0	2,808.6
Operating Profit before WC Changes	8,321.0	7,760.0	10,709.5	12,658.6	14,840.7
Net Cash Generated From Operations	4,537.0	2,208.0	9,747.3	10,226.5	10,452.5
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(2,485.0)	(2,147.0)	(2,874.0)	(2,000.0)	(2,000.0)
Net Cash Flow from Investing Activities	1,317.0	(1,567.0)	(1,855.9)	(178.7)	122.6
Cash Flow from Financing Activities					
Net Cash Flow from Financing Activities	(4,755.0)	(484.0)	(2,817.7)	(3,623.1)	(4,332.1)
Net Inc/Dec in cash	1,099.0	157.0	5,073.7	6,424.7	6,243.0
Opening Balance	2,182.0	5,669.0	6,526.0	10,579.8	16,776.4
Closing Cash	3,281.0	5,826.0	11,599.7	17,004.5	23,019.4

Free Cash Flow Statement					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	11,105	10,074	14,199	16,926	19,706
FC Investment	1,217	476	2,874	2,000	2,000
WC Changes	-3,784	-5,552	-962	-2,432	-4,388
Depreciation Tax Shield	462	562	577	643	730
Tax Expenses	2,804	2,591	3,781	4,511	5,123
FCF	4,870	12,517	7,158	8,626	8,924

Source: Dalal & Broacha Research, Company

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Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Retail FMCG Logistics
Mrs.Charulata Gaidhani	Sr.Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Analyst	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Analyst	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com